

enough to find out that L'eggs was made by Hanes and that Hanes was listed on the New York Stock Exchange.

Once Carolyn alerted me to Hanes, I did the customary research into the story. The story was even better than I'd thought, so with the same confidence as the fireman who bought Tambrands, I recommended the stock to Fidelity's portfolio managers. Hanes turned out to be a sixbagger before it was taken over by Consolidated Foods, now Sara Lee. L'eggs still makes a lot of money for Sara Lee and has grown consistently over the past decade. I'm convinced Hanes would have been a 50-bagger if it hadn't been bought out.

The beauty of L'eggs is that you didn't have to know about it from the outset. You could have bought Hanes stock the first year, the second year, or even the third year after L'eggs went nationwide and you'd have tripled your money at least. But a lot of people didn't, especially husbands. Husbands (usually also known as the Designated Investors) probably were too busy buying solar-energy stocks or satellite-dish company stocks and losing their collective shirts.

Consider my friend Harry Houndstooth—whose name I've changed to protect the unfortunate. Actually there's a little bit of Houndstooth in all of us. This Designated Investor (each family seems to have one) has just spent the morning reading *The Wall Street Journal*, plus a \$250-a-year stock market newsletter to which he subscribes. He's looking for another exciting stock play, something with limited risk but big potential on the upside. In both the *Journal* and his newsletter there's a favorable mention of Winchester Disk Drives, a headstrong little firm with a dandy future.

Houndstooth doesn't know a disk drive from a clay pigeon, but he calls his broker and learns that Merrill Lynch has put Winchester on its "aggressive buy" list.

All this can't be pure coincidence, thinks Houndstooth. He is soon convinced that putting \$3,000 of his hard-earned money into Winchester is a very clever idea. After all, he's done the research!

Houndstooth's wife, Henrietta—also known as the Person Who Doesn't Understand the Serious Business of Money (these roles could be reversed, but usually aren't)—has just returned from the shopping mall where she's discovered a wonderful new women's apparel store called The Limited. The place is mobbed with customers. She can't wait to tell her husband about the friendly salespeople and the terrific bargains. "I bought Jennifer's entire fall wardrobe," she exclaims. "Only two hundred and seventy-five dollars."

"Two hundred and seventy-five dollars?" grouses the Designated Investor. "While you've been out squandering money, I've been home figuring out how to make it. Winchester Disk Drives is the answer. As near to a sure thing as you could get. We're putting three thousand dollars into it."